

District Strategy Report

Dakshina Kannada

VTPC | February 2025



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Districts as Export Hubs Initiative

To transform every district into an export hub, supporting the Atmanirbhar Bharat mission and is expected to **boost economic growth, employment, and rural development** by connecting local production to global supply chains.

- Key focus on grassroots-level export promotion, manufacturing, and job creation, unlocking each district's potential.



Central Nodal Agency – Directorate General of Foreign Trade

- **DGFT under the Ministry of Industry & Commerce, Government of India** is responsible for foreign trade policy implementation and focusing on export promotion
- Bengaluru Regional Office serves key importers & exporters in Karnataka



State Nodal Agency – Visvesvaraya Trade Promotion Centre

- **VTPC, a government of Karnataka organization under the aegis of Department of Industries & Commerce** aims to foster international trade and support exporters through capacity building programs and policies to achieve global competitiveness



Implementing Agency – District Industries Centre

- **DIC aims to facilitate MSME (Micro, Small and Medium-scale Enterprises) development** in rural areas, implementing government schemes to enhance industrial growth & employment
- Further, **State & District Level Export Promotion Committees (SLEPC & DLEPC)** have been established to boost export ecosystem (*GO No.. CI 168 CSC 2015, Bangalore, dated 22nd July 2015 and G.O. No. CI 21 SPI 2019 (E), Bengaluru, dated 10th February 2020*)



Objectives - DEH

- **Empower MSMEs, Farmers, and Small Industries:** Facilitate access to international export opportunities, emphasizing district-led export growth to achieve self-sufficiency and self-reliance.
- **Enhance Support for Existing Export Industries:** Deliver targeted support to current export sectors to significantly increase their export capacities.
- **Promote Capacity Building:** Initiate programs aimed at consistently upgrading export quality through effective capacity-building efforts.
- **Attract District-Level Investments:** Encourage investments to strengthen manufacturing and export capacities while fostering a district-level innovation ecosystem that leverages technology to enhance exporter competitiveness.
- **Simplify Regulatory Framework:** Develop a regulatory environment that is streamlined, transparent, and responsive to facilitate uninterrupted export growth.

Improving Ease of doing Business

The Business Reforms Action Plan (BRAP) by the DPIIT aims to enhance the ease of doing business in India by tracking and ranking states and UTs based on the implementation of various reforms that foster a more business-friendly environment.

GO realized by VTPC for DEH


Government of Karnataka
No. CI 21 SPI 2019
Karnataka Government Secretariat
Vikasa Soudha,
Bangalore, Dated 14.02.2025

ADDENDUM

Sub: Addition of Terms of Reference for District Level Export Promotion Committee – reg.
Read: 1. G.O.No. CI 290 SPC 94(P), Dated 28.02.2005.
2. Reconstituted G.O.No. CI 21 SPI 2019, Dated 10.02.2020.
3. DPIIT's State Business Reform Action Plan - 2024 (SBRAP) (Part-B: State/UTs) of Karnataka Udyog Mitra, GoK - EODB Nodal Agency for the State vide email dated 31.01.2025.
4. Director (Exports) and Managing Director, VTPC letter No.VTPC/AD/DLEPC/2024-25, dated 01.02.2025.

The Government has constituted District Level Export Promotion Committee (DLEPC) vide Government Order read at (1) above. The Committee was reconstituted by inclusion of members and Terms of Reference vide Government Order read at (2) above.

In order to improve the Ease of Doing Business in the State and improve the State ranking, DPIIT has suggested certain reforms and the same was intimated by Karnataka Udyog Mitra, Government of Karnataka - EODB Nodal Agency for the State vide e-mail read at (3) above.

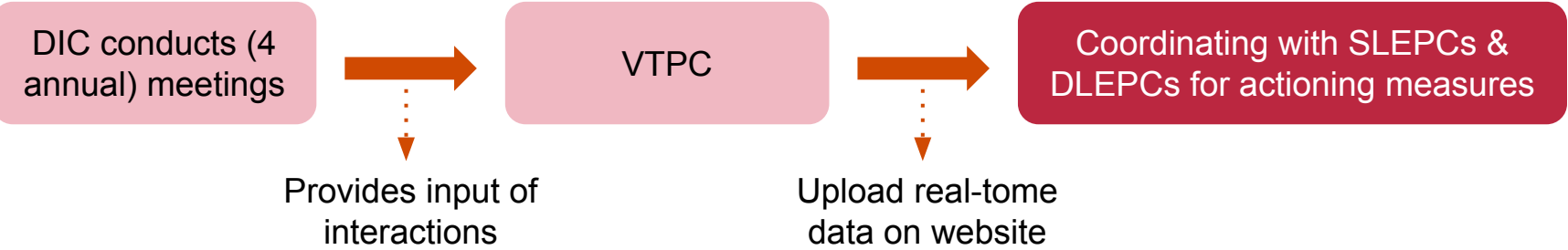
Accordingly, Director (Exports) and Managing Director, VTPC has submitted a proposal to include the following Terms of Reference (Reforms) in the District Level Export Promotion Committee (DLEPC) read at (4) above. Hence, the following Addendum.

Reform No.	Sub-Area	Reform Details
333	Integration of District Export Action Plans into a Centralized Portal	Mandate that the District Collector, via the District Export Promotion Committee (DEPC), create and periodically review a District Export Action Plan (DEAP). The plan should outline the district's export potential, key products, infrastructure, and strategies leveraging its unique advantages. At least four DEPC meetings should be held annually.
334	Integration of District Export	Develop an online system where stakeholders, including government agencies, exporters, industrial associations,

35. Additional Director (P&P), Directorate of Large & mega industries, Khanijabhan, Race Course Road, Bengaluru-01.
36. Guard File/ Spare Copies

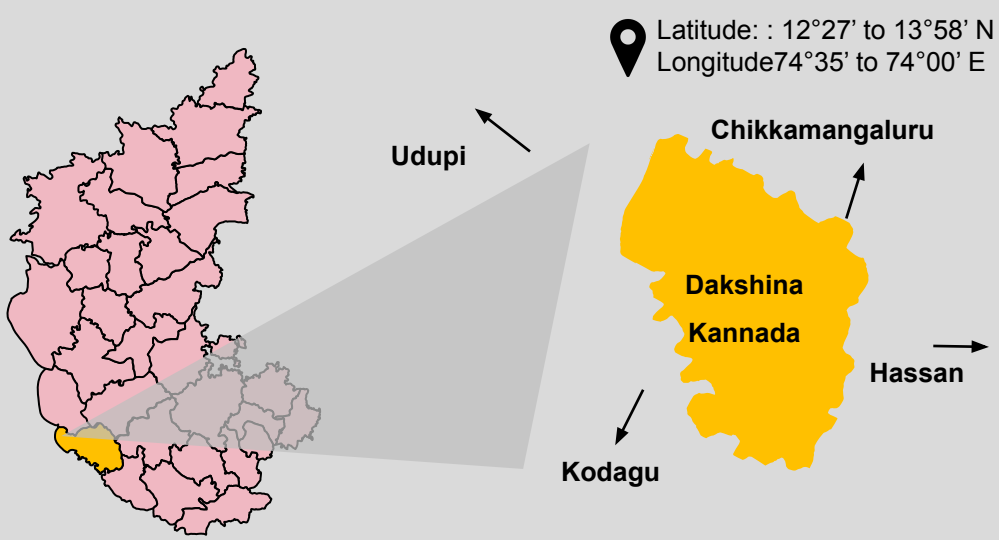
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334	Integration of District Export Action Plans into a Centralized Portal	Develop an online system where stakeholders, including Government agencies, exporters, industrial associations and business, can access all district action plans. This system will serve as a one-stop platform for all districts, offering critical insights into export initiatives.
335	Integration of District Export Action Plans into a Centralized Portal	Ensure that the DEAPs are updated in real-time on the portal, enabling stakeholders to monitor progress, identify bottlenecks and propose improvements.

Supporting exporters to voice their concerns



About District Dakshina Kannada





District Profile | Dakshina Kannada

2nd Rank in District's GDDP ~ contributing to
~**6%** as of 2022-23

Sectoral Ranking at State Level



Agriculture

10th



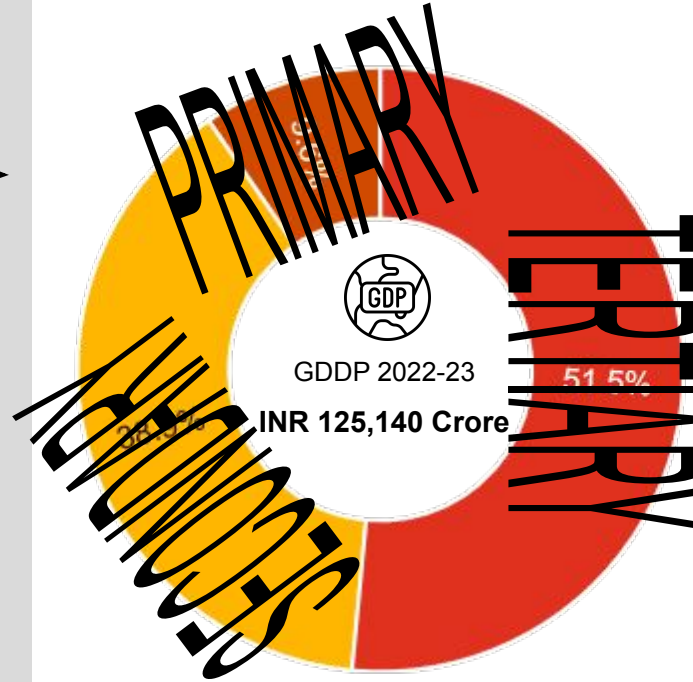
Industrial

2nd



Services

2nd



Net District
Domestic Product

INR 113,631 Crore

Per Capita
Income

INR 492,074

- **The district is rich in mineral resources** such as laterite, granite, dolerite, iron ore, fire clay, china clay, and white sand.
- **The district hosts the state's only** fertilizer manufacturing unit, known as the "State Fertilizer Hub."
- **Agro Produce:** cashew, spices, jackfruit, paddy, coconut, arecanut, black pepper, cocoa, and rice.
- **Key companies:** Mangalore Chemicals & Fertilizers Limited, BASF India Ltd, Hindustan Unilever Limited, New Mangaluru Port Trust, Campco, Lamina Foundries and Goan Fresh Marine Exports Private Ltd



Area

4,859 Km²



Industries

Large: 22 | MSME:
9,221



Villages

331



MSME Units

Micro: 8,613 | Small:
542 | Medium: 66



Taluk

9



Literacy

88.57%



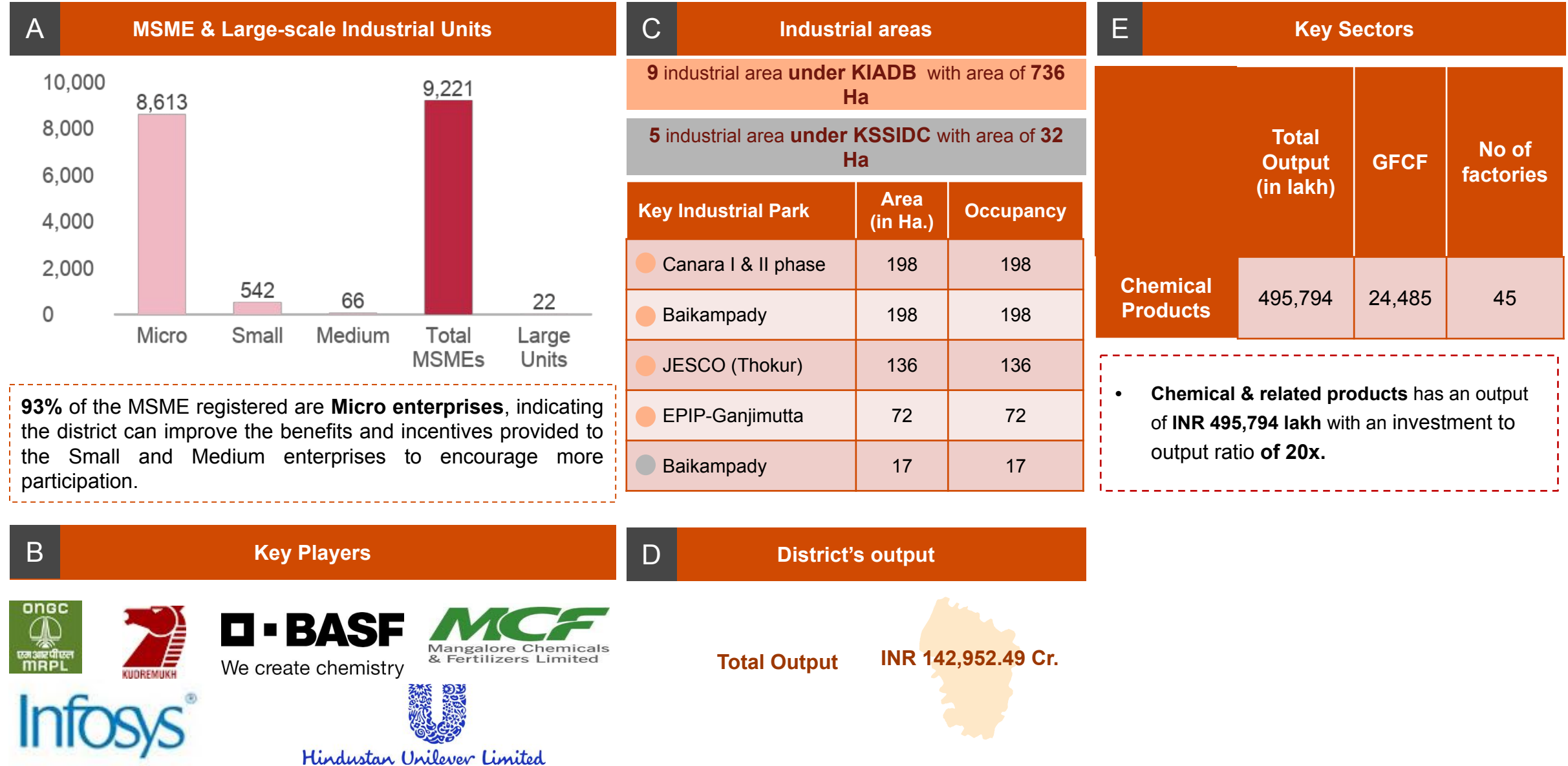
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17



Food Processing, Agro
Products, Chemical,
Basic metals

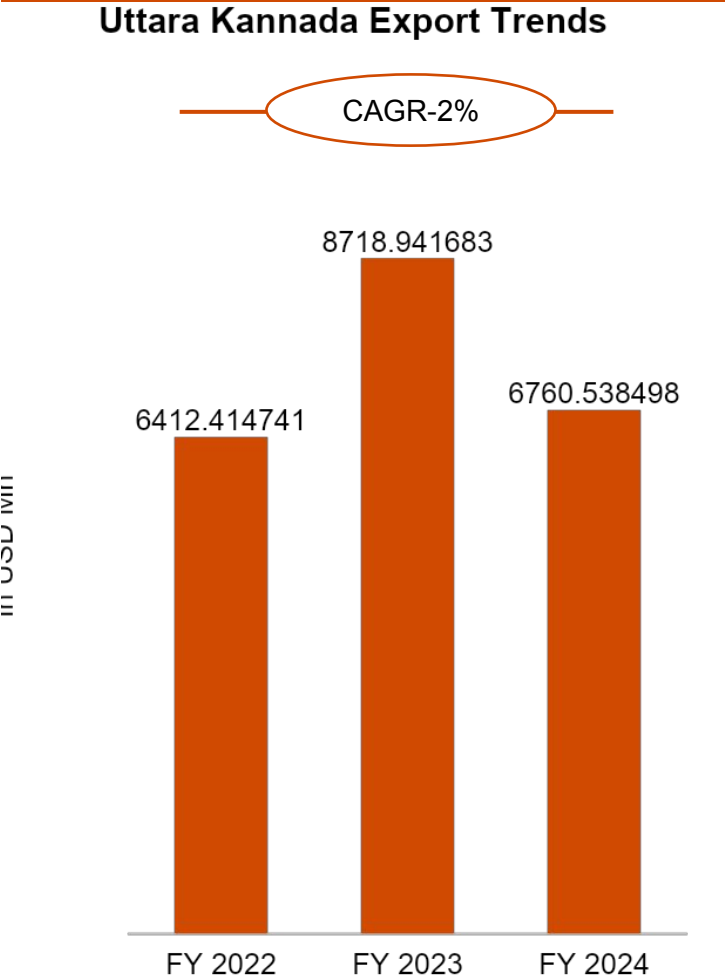
Industrial Profile of Dakshina Kannada



Source: District Export Action Plan, <https://indiaindustrialandbank.gov.in/exploreParkReport>

Dakshina Kannada contributes to ~ 27% of overall state level exports as of FY24 – Significantly led by Chemical, Agriculture and food processing industries

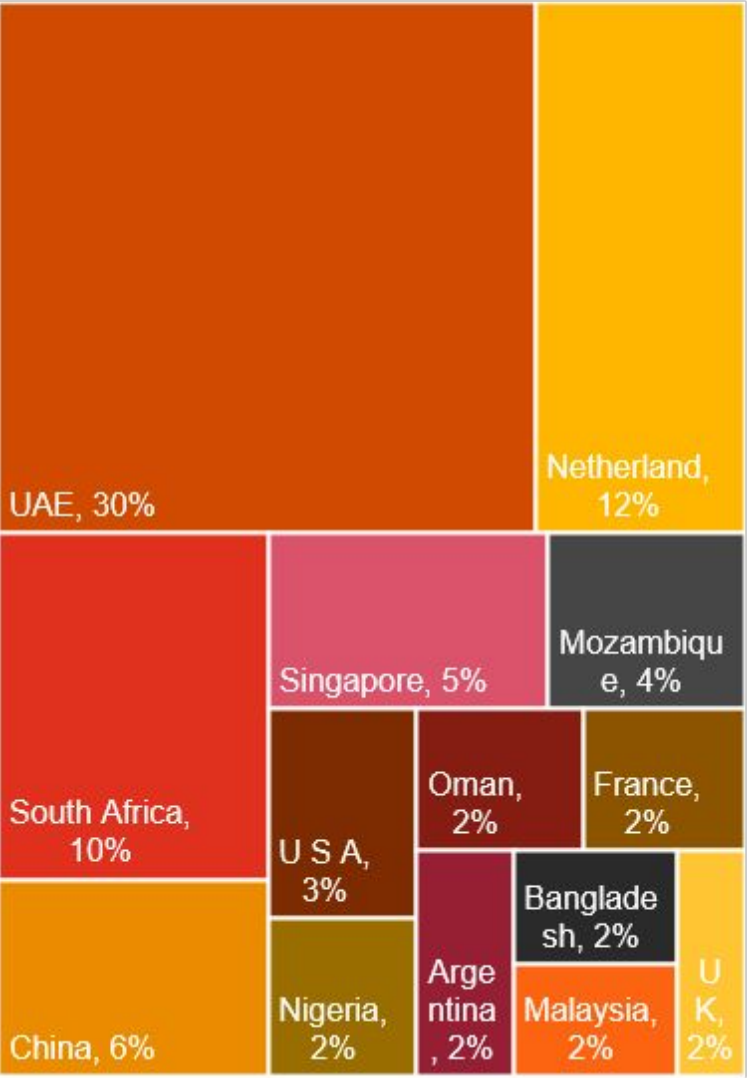
A Uttara Kannada Export Trends



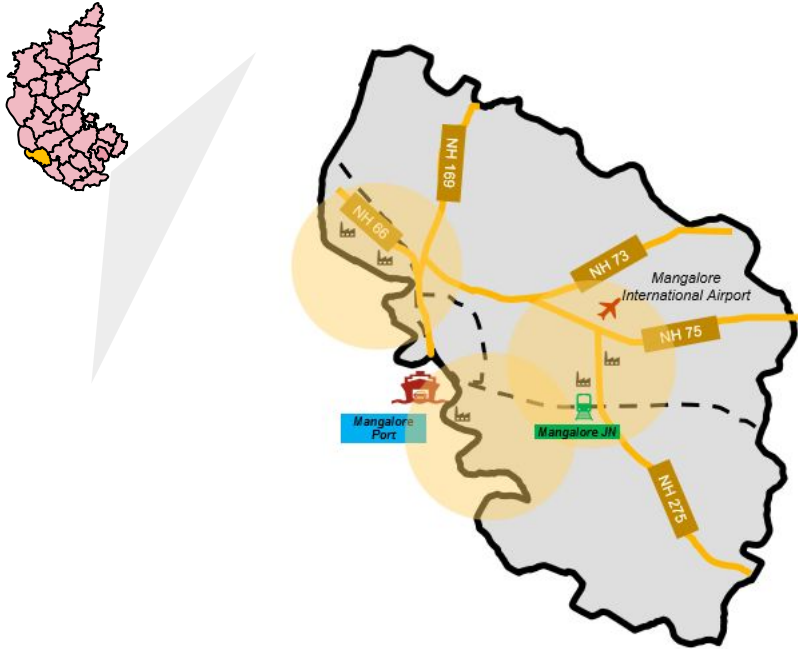
B Key Export Commodity from Dakshina Kannada

HS Code	Product Description	Exports as of FY 2023-24 (USD Mn)	% Share of District's Export (3 Years)	CAGR
29	Organic Chemicals	260	3.8%	-37%
3	Fish and crustecans	115	1.7%	-5%
9	Coffee, tea, mate & spices	65	1%	3%
63	Other made-up textile	34	0.5%	-11%
84	Machinery& Equipment	16	0.2%	-3%
73	Article of Iron & Steel	6	0.1%	-1%
39	Plastics	4	0.1%	-63%
33	Essential Oils	4	0.1%	26%
87	Motor Vehicles	3	0.1%	167%
85	Electric machinery & equipment (ESDM)	3	0.1%	8%
Top 10 Contribution to Exports		510	7.7%	
Total Exports		6,761	100	2%

C Top Trade Partners



Dakshina Kannada is well-connected through a network of national and state highways, with NH 66 being a major route along the western coast, linking key towns like Karwar and Bhatkal



- Mangalore is served by two railway stations: **Mangalore Central and Mangalore Junction**.
- A third station in Surathkal connects to parts of India including **Maharashtra, Goa, Mangalore Port, and the Bangalore-Chennai route**.



- **New Mangalore Port**, located at Panambur on India's west coast, is midway between Kochi and Mormugao.
- **Upcoming ICD Bengaluru at the KIADB industrial land at Igglur** designed to handle close to 60,000 TEUs per annum



- District has four national highways connecting parts of Karnataka and India
- **NH 66** (Goa- Mumbai- Kochi)
- **NH 73** (Mangaluru – Tumukuru)
- **NH 169** (Mangaluru – Shivamoga
- **NH 275** (Bengaluru–Mangaluru Economic Corridor)



- Water supply: Managed by **Mangaluru City Corporation**
- Power Supply: Managed by **Mangaluru Electricity Supply Company Ltd.**



- The district is connected by air via **Mangalore International Airport**
- The Ministry plans to extend the runway by **1,000 meters** to safely accommodate widebody aircraft for long-haul international flights.



- **8 Industrial Areas and 5 Industrial Estates**
- **Industrial area**~ 1,668+ Acres across Baikampadi, Karnad, Puttur
- **Major industrial estate** – 1,262+ acres across Yeyadi, Mulki, Moodbidre

Social Infrastructure



Colleges :383
High Schools:2,022
Healthcare centers :8
Research & Development CentersYenepoya Research Center and Arecanut research & development foundation

Strengths, Opportunities, Weakness and Threats for Dakshina Kannada

S

Strengths

- **With 48% of Dakshina Kannada being urbanized**, the district benefits from advanced urban infrastructure, including better roads, healthcare, and public services.
- **The presence of Mangalore International Airport enhances** its connectivity and access to global markets.
- **Its proximity to well-developed port facilities** supports efficient maritime trade and transportation..

W

Weakness

- **A significant portion of the population** relies on agriculture
- **While there are ports and roads, further infrastructure** development is needed to boost connectivity and economic growth
- Many local businesses lack **awareness and understanding of international standards and certifications** required for export, limiting their market reach

O

Opportunities

- District can leverage strengths **food processing** to create value-added export products – emphasizing advanced manufacturing, R&D, sustainable practices, and local expertise to significantly enhance economic growth and global trade.
- There is potential to develop eco-tourism, beach tourism, and cultural tourism, capitalizing on the district's natural and cultural assets
- **The region's natural resources offer potential for renewable energy projects**, such as wind and solar power

T

Threats

- **Delay in setting up of proposed Industrial parks, Marine Biotech park and SEZs** due to slow pace in land acquisition
- The extension of Mangalore airport's runway has been delayed because both the state government and the airport regulator are hesitant to fund the project. To accommodate widebody aircraft such as the **Boeing 747, a runway length of 12,000 feet is necessary.**

Potential Products



Framework of top export products from Dakshina Kannada

Framework for shortlisting priority products for Dakshina Kannada

Analysis of Last 3 years export data at Dakshina Kannada level (FY 2020- 21 to FY 2023-24) – estimating average trade at 2-digit level for identified products

Traditionally strong sectors

A

Karnataka exports

Analysis of Last 3 years export data at Karnataka level (FY 2020- 21 to FY 2023-24) – estimating average trade at 2-digit level for identified products

B

Key export clusters

Identification of key export clusters of focus sectors / products with high manufacturing potential

Sunrise sectors

C

Global imports & India exports

Analysis of last 3 years export data at Global imports and National exports level (FY 2020-21 to FY 2023-24) – estimating average trade at 2-digit level for identified products

D

Karnataka manufacturing sectors

Analysis of top sectors contributing >4% to the overall manufacturing sector value of output as of FY 2022-23

Criteria for shortlisting sectors top 10 – 12 sectors:

- Identification of products contributing cumulatively to ~90% of overall exports – Bengaluru (Rural) exports
- Identification of products contributing cumulatively to ~90% of overall exports – Karnataka and India exports
- Identification of products contributing cumulatively to ~90% of overall imports – Global imports
- Identification of top sectors contributing >4% to the overall Karnataka's manufacturing sector value of output
- Identification of existing export clusters for focus products in Karnataka as part of compete with China initiative

Framework of top export products from Dakshina Kannada

Identified Sectors/ Products	Traditional Sectors		Sunrise Sectors		
	District Exports	Karnataka Exports	India Exports	Global Imports	District Manufacturing Strengths
Textile & Garments	-	✓	-	-	-
Chemicals & related products	✓	✓	✓	-	✓
Agro & food products	-	-	✓	-	✓
Machinery & Equipment	-	✓	✓	✓	✓
Electronics & electrical products (ESDM)	-	✓	-	✓	✓
Basic metals	-	✓	✓		✓
Optical & medical equipment	-	✓	-	✓	✓
Automobile & auto components	-	-	✓	✓	✓
Defense	-	✓	✓	✓	-
Pharmaceutical products	-	✓	✓	✓	✓
Aviation	-	-	✓	✓	✓
Plastic & related products	-	-	-	✓	-

Source: DGCIS

Product Profile #1 – Chemicals & related products



HS Code
29,33



Export Value
(3 yrs avg., in USD Mn)
463.2



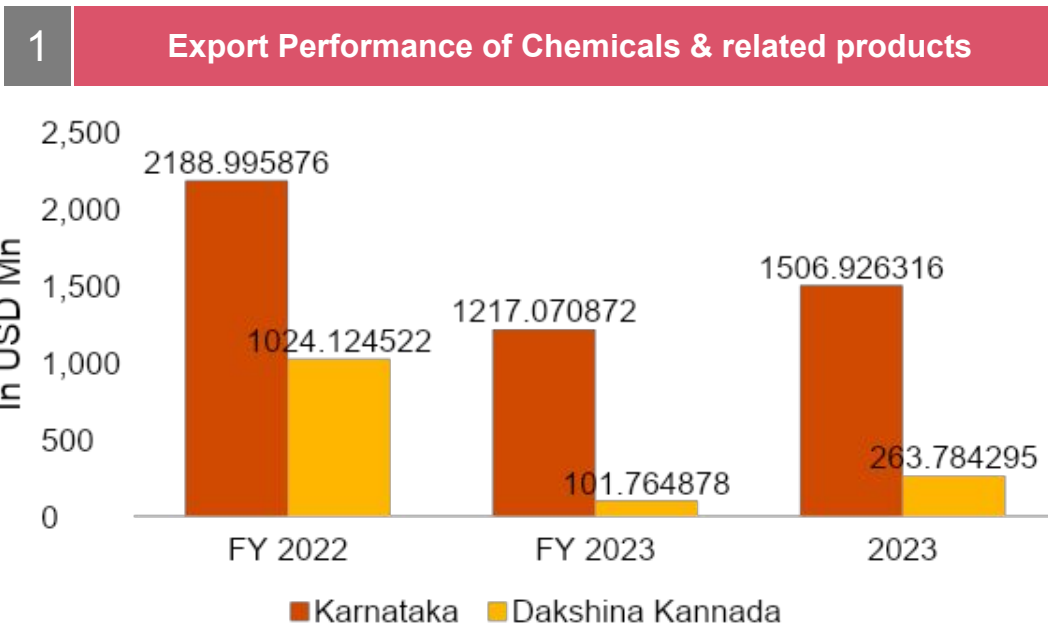
Product Ranking
3



CAGR
(FY2022-24)
-36%



No. of
Sub-Products
Identified
16



- Exports from Dakshina Kannada witnessed a significant drop in exports in FY 2023. The exports and again **grew at 159%** ~ at USD 1,230 Mn for FY 2024
- Cyclic hydrocarbons (HS 2902)** alone contributes to **74%** of total export under **Chemicals & related products**. **Acyclic hydrocarbons (HS 2901)**, also accounts for 15% of total exports of chemicals from the district.

2 Export Partners

Country	Average Exports (FY 2022 – FY 2024) in USD Mn	%Share in Districts Export
China	176.4	38%
Saudi Arab	73.3	16%
UAE	56.9	12%
Taiwan	38.7	8%
USA	27.6	6%
Kuwait	18.5	4%
Others	71.8	15%
Total	463.2	100%

- 54%** of importing countries for Chemical & related products exported from the district includes **China and Saudi Arab**. Other prominent importing countries include **UAE (12%), Taiwan (8%), and USA (6%)**.
- China** majorly imports **Cyclic hydrocarbons** from the exporters of the district.

Product Profile #1 – Chemicals & related products

3

Identified Products

HS Code	Description	Export from District (in USD Mn)	Growth (in %)	Karnataka Exports	Growth (in %)	India Exports	Growth (in %)	Upscaling/ Diversification	Key Markets
2902	Cyclic hydrocarbons	367.0	-33%	367.9	-0.33	3091	0.007	Upscaling	China, USA, Saudi Arabia, Spain, Brazil, UK, Canada, Taiwan, South Africa
2933	Heterocyclic compounds	0.1	-60%	232.7	0.04	3860.9	0.009	Upscaling	
2922	Oxygen-function amino-compounds	0.04	-100%	52	0	909.4	0.002	Upscaling	
2934	Nucleic acids	0.01	-100%	44.9	0.14	663	0.002	Upscaling	
2937	Hormones, prostaglandins,	-	-	35	-0.02	274.3	0.001	Upscaling	
2905	Acyclic alcohols	0.00	-100%	14.6	-0.01	458	0.001	Diversification	UAE, USA, Mexico, Germany, Japan, Thailand, Spain, France
2901	Acyclic hydrocarbons	68.3	-100%	68.4	-0.94	289.2	0.001	Diversification	
2909	Ethers, ether-alcohols	0.01	-22%	9.8	-0.2	703.6	0.002	Diversification	
2915	Saturated acyclic	0.04	-7%	9	0.08	797.1	0.002	Diversification	
3302	Mixtures of odoriferous	0.00	520%	80.5	-0.02	388.6	0.001	Upscaling	China, USA, Saudi Arabia, Spain, Brazil, UK, Canada, Taiwan, South Africa
3303	Perfumes and toilet waters	0.00	-21%	0.7	0.08	186.5	0.001	Upscaling	
3301	Essential oils	0.00	-	76.1	-0.03	956.8	0.002	Upscaling	
3307	Shaving preparations	2.0	4%	71.7	0.02	248.1	0.001	Upscaling	
3304	Beauty or make up	0.01	122%	6	-0.07	422.9	0.001	Diversification	UAE, USA, Mexico, Germany, Japan, Thailand, Spain, France
3306	Preparations for oral and dental	0/00	-100%	5	0.05	82.3	0.001	Diversification	
3305	Preparations for hair	1.4	172%	3.2	0.54	176.4	0.001	Diversification	

Legend: Upscaling Diversification
Source: DGCIS

Actioning Strategy



Export Action Plan for Dakshina Kannada (1/3)

Trade Promotion

Strategy	Action	Responsibility
Promotion of products manufactured in Karnataka – Online & Offline	Promote local products through various mediums - digital/ physical/ events/ B2B/ buyer seller events etc.	DLEPC and EPCs
New market identification for exporters (Budding and Existing players)	Facilitate tie ups with international buyers / Indian missions / Industry associations through participation in trade fairs, global events, engagement with trade bodies for identified markets	EPCs
Enhance participation in GOI/ GOK Schemes for export promotion	Reassessment of existing schemes wherein fiscal incentives are availed to exporters through Market Development Assistance - Reevaluation of incentives provided under the Industrial Policy for Export Oriented Units and Special Economic Zones	Department of I&C, VTPC
Market Penetration Index	Assist existing exporters for participation in trade events in new markets Leveraging presence of Indian missions in target markets Coordinate with EPCs across the country for leveraging their connects for B2Bs, trade events and other networking activities in new markets Support MSMEs in setting up units, engage with exporters and trade bodies to identify new export avenues, and work with Indian missions abroad to identify potential buyers.	EPC, VTPC
Availing market analysis portal for Exporters	Revamping of VTPC website with updated product and market intel reports - Information of new products and market to be disseminated through Vanijya Mitra portal and Export Awareness Program	VTPC
Developing database for exporters at District level	Development of an exporter database in coordination with industrial associations in the district	DLEPC, EPCs
Existence of Trade guide	Preparation of New Trade Guide for VTPC	VTPC

Implemented

Proposed

State level implementation

District level implementation

Export Action Plan for Dakshina Kannada (2/3)

Support Infrastructure for Export Augmentation

Strategy	Action	Responsibility
Awareness of best practices	Good Agri practices The State Agriculture/ Horticulture Departments should engage the FPO's for adopting the best agriculture and health practicesPractices to improve and increase exports from the district	DLEPC, VTPC, APEDA
Develop processing infrastructure (cluster/ parks), Cold Storage Facilities and inland container depots, logistics infrastructure	Develop Agri Export Zone Identify and propose Agri Export Zones in consultation with the State Agriculture/ Horticulture Department	APEDA, IDD, KAPPEC, DLEPC, VTPC
	Development of sector specific integrated industrial park in proximity to Mangaluru Refineries	
	- Development of testing centres in proximity to production centres Early enactment of DESH act	
	Development Cold chain storage facility for marine products in proximity to NMPT	
	Upgradation of seaport infrastructure at NMPT for handling heavy machinery and equipment products	
	Improvement of logistics infrastructure (Road and Railways) connecting major distribution centers	
Conduct an infrastructure assessment study	Demand Assessment Study for setting up of Cold Chain infrastructure in the district	DLEPC
Enhance international access for exporters	Facilitate tie ups with international buyers of products through participation in trade fairs, global events, engagement with trade bodies for identified markets	VTPC

Implemented

Proposed

State level implementation

District level implementation



Export Action Plan for Dakshina Kannada (3/3)

Skill Development

Strategy	Action	Responsibility
Enhanced Skill development training for Manufacturing/ Processing/exports	• Strengthen industry-academia collaboration, scale up initiatives like KSDC's Advanced Automotive Technology Training, and increase investment in skill development to enhance the availability of trained professionals in advanced automotive technologies • Develop export training programs and establish support centers offering market research, compliance guidelines, and consultancy for local auto businesses	DLEPC & VTPC
Capacity building or orientation workshops for exporters	• Strengthening of DICs and awareness programs across all district under DEH program to enhance overall ranking & performance of exports	VTPC

Implemented

Proposed

State level implementation

District level implementation



Proposed institutional framework for implementation of action plan

Key tasks

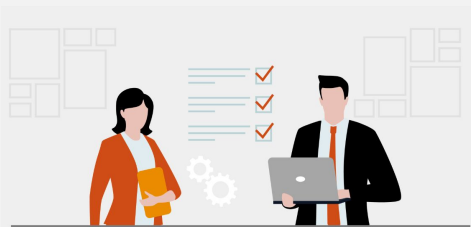
Stakeholder consultation

Connecting with the stakeholders, and understanding the challenges and bottlenecks faced in improving the district's export potentials



Data sharing

Sharing the information and data gathered from the stakeholder consultation with VTPC, to ensure concerning authorities are aware of the same.



Progress status

VTPC upload the grievances on the website and on real time basis should keep updating the progress of and the status of the grievances.



Committee

Member

The Deputy Commissioner of District

Chairman

The Additional Director General of Foreign Trade

Co-Chairman

Additional Director & In-charge Nodal Officer of the District, Department of Industries & Commerce, Government of Karnataka

Member

The President, District Chamber of Commerce & Industries

Member

The President, District Industries Association

Member

Prominent Exporters from District [to be co-opted by the Deputy Commissioner on year-to-year basis – minimum 2, limited to 5 members]

Member

The District Lead Bank Manager

Member

The Joint Director, Agriculture Department

Member

The Deputy Commissioner to co-opt Departmental officers/industry representatives/ associations in specific subject in specific districts as may be necessary based on the needs of the export basket of the concern District

Member

The Joint Director, District Industries Centre

Member Secretary



For Further Details, Please Contact:

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